Riot Platforms (RIOT)

3Q26 | 5 November 2026 | Earnings Brief | Post-call version | Josh, with Trevor and Scott

1 Executive snapshot

Consensus thesis. Investors own Riot as a power-rich Texas landlord with 241 MW leased, a non-binding Corsicana LOI, and funding from bitcoin sales and project debt instead of new shares, and they doubt the backstop, the bridge refinancing and the value of unleased power.

Thesis status. Strengthening

Versus expectations. Quarter beat: revenue $181.4mn against about $160.4mn to $160.7mn (+13%); diluted EPS $0.01 against about -$0.33 to -$0.34, helped by bitcoin marks. Outlook above: the Corsicana LOI became a binding lease, larger than the LOI.

Biggest changes. (1) Corsicana is explained: 910 MW take-or-pay 'regardless of utilization', rent within 60 days of pad delivery, tenant owns modules and pays opex, about 33% unlevered yield on about $5.5bn. (2) Funding plan disclosed: base case 80% to 90% loan-to-cost, $4.4bn to $4.9bn non-recourse from 2027; fallback, tenant funds reimbursements with rent credits at 12%. Corsicana and Rockdale capital $7.6bn to $7.8bn (portfolio $7.7bn to $7.9bn), debt $6.1bn to $7.0bn, Riot equity $800mn to $1.5bn through mid-2028. (3) Riot's sources: about $2.1bn, being $950mn liquidity, about $900mn rent before debt service, $180mn expected AMD term loan and $110mn other. Only the $950mn is in hand. No project debt has closed. (4) Same 1 GW load supports 910 MW against 756 MW on a Tier 3 design, and capital about halves, with $130/kW-month starting rent. (5) Mining at Corsicana winds down around summer 2027; lease revenue guided at about $23mn in 2026, $250mn in 2027, $1.8bn in 2028 and $2.3bn in 2029.

Investor takeaway. The consensus view should move up: the call shows a credible way to fund Corsicana, and project-level returns are high, but credit quality improves only if the 2027 debt closes, since one lab without an investment-grade rating holds about 96% of contracted MW and the $573mn bridge's 31 December maturity went unaddressed.

Monitor next quarter. (1) Bridge maturity 31 December and Rockdale high investment-grade counterparty: name and bond launch. (2) Corsicana debt launch in 2027, or use of 12% rent credits. (3) First Corsicana block June 2027 and 400 MW by September 2027 (10-Q); AMD 10 MW this month.

Pillar scorecard

Pillar	What the quarter showed	Verdict
P1 Rockdale delivers on schedule	Dates kept. Base rent $7.7mn on 25 MW. About 70% of Rockdale cost under a GMP being finalized; Riot retains the rest	Confirmed
P2 IG backstop for lab tenant	'High investment-grade counterparty' still being finalized; no name or date. Corsicana relies on the 12% fallback	Unresolved
P3 Funded without common equity	No equity in 2026, none anticipated for announced projects. Sources about $2.1bn against $0.8bn to $1.5bn, but about $1.2bn of it is future rent or unclosed. ATM and bridge maturity not addressed	Unresolved
P4 Corsicana becomes a lease	910 MW, about $1.8bn average rent, effective 4 November	Confirmed
P5 Mining bridges the gap	Cost to mine ex-depreciation $39,265; 20,264 BTC sold year to date for $1.5bn; 2,418 BTC left; ramp-down at Corsicana from about summer 2027	Confirmed

Key KPIs

Metric	This qtr	Prior qtr	Same qtr last year	QoQ / YoY flag
Revenue ($mn)	181.4	174.2	180.2	[~] +4.1% / +0.7%
Data center revenue ($mn)	18.4	n.a.	nil	[↑] n.a.
of which base rent ($mn)	7.7	4.9	nil	[↑] +57%
Adjusted EBITDA ($mn)	191.3	-69.7	197.2	[?] marks; about $19.4mn ex $171.9mn BTC gain [INFERENCE; $176.0mn realized losses may be netted]
Operating income ($mn)	1.2	n.a.	80.1	[↓] n.a. / -98.5%
Operating margin	0.7%	n.a.	44.5%	[↓]

Metric	This qtr	Prior qtr	Same qtr last year	QoQ / YoY flag
BTC produced	1,637	1,587	1,406	[↑] +3.2% / +16.4%
Cost to mine ex-dep. ($/BTC)	39,265	49,912	46,324	[↑] -21% / -15%
BTC sold (quarter)	10,599	n.a.	n.a.	[?]
BTC held	2,418	11,380	n.a.	[↓] -79%
Contracted critical IT MW	1,151*	241	n.a.	[↑] *from 4 November
Shares (mn)	375.1	378.0	n.a.	[~]

Guidance

Metric	Guidance	vs. prior
Corsicana delivery	400 MW Sept 2027; 200 MW Jan 2028; 310 MW July 2028	New
Contracted NOI	About $2.2bn at full deployment; revenue about $2.3bn	New
Corsicana capital	About $6mn per MW; about $5.5bn total	New
Lease revenue	About $23mn 2026; $250mn 2027; $1.8bn 2028; $2.3bn 2029	New
Equity	None anticipated; Riot $0.8bn-$1.5bn through mid-2028	Maintained

Top risks

Tenant concentration and credit: About 96% of MW with one unrated lab (Anthropic per 10-Q); termination and re-letting rights not addressed

Bridge and backstop: $573mn bridge, 31 December per August 8-K; call gave no date or name

Funding of Riot's share: $0.8bn to $1.5bn against $950mn in hand plus rent that starts with delivery; no project debt closed

Analyst focus

Eight questions, all answered directly, none on lab credit, termination, the bridge or the ATM. Grondahl (Northland) came closest on cost risk. — Trevor

Monitoring

5 signals: Bridge takeout; counterparty name; Corsicana debt launch; AMD November delivery; liquidity at year-end. Key risks building: One-tenant dependence; liquidity falling while commitments rise. Confirmation signals: Non-recourse debt at or below about 8% to 9% without a parent guarantee [our bar]. Conviction tripwires: ATM use; bridge extended without a takeout; rent credits used at 12% because lenders decline.

Read-across for Kona

Corsicana is the closest listed comparison for a model Kona has not priced: powered land, where the tenant owns the modules, at about $6mn per MW and $130/kW-month starting rent, about $178/MWh of IT load before energy on our arithmetic. Kona should price it as a fifth option, copy take-or-pay on all MW regardless of utilization and rent starting within 60 days of delivery, and copy the 12% tenant-funded fallback. Caution: Riot got this with 1 GW of approved power and an entire campus; at tens of MW Kona has less leverage, and the tenant is one lab.